label of being a reluctant and opportunistic neighbour who abandoned its sole ally in Kabul for new partnerships.

'Plane-load of Mujahideen'

Most factors that drove India into a tight embrace with Najibullah—i.e. dependency on Moscow, failed attempts to curb differences with Islamabad, near total disconnect with Washington (on the Afghan question) and the Mujahideen, and Najibullah's anti-Pakistan predilections—had vanished by the end of April 1992. The end of the Cold War, and collapse of the Soviet Union had put India on survival mode. Domestically, the failure of the socialist economic model steered India into its worst debt crisis ever. Excessive borrowings had pushed the government's internal debt from 35 per cent of GDP in 1980–81 to 53 per cent of GDP by the end of 1990–91.[38] With its foreign exchange reserves drying up, India could hardly finance three weeks worth of imports. Insurgencies were raging in Kashmir, Assam, and Punjab, and a failed military venture in Sri Lanka stared India in its face. It had not only cost the exchequer a lot of money but even Rajiv Gandhi's life. Internationally, alignment with the Soviet Union caught New Delhi on the wrong foot strategically. If in 1980 Indira Gandhi counted on Soviet economic and military support to rescue the Indian economy from collapsing under the weight of bulging oil prices and a severe drought, there was no such support forthcoming in 1991. In contrast, Pakistan had played a key role in fighting the Soviets in Afghanistan with US support and despite its heavy dependence on foreign aid; it had a real rate of growth of 5–6 per cent in 1991.[39] Having brokered the Peshawar Accord on 24 April 1992 that installed the Mujahideen government, Pakistan deeply influenced politics in Kabul while India was bundled up with a territorially and economically broken Russia and a revisionist Iran.

These harsh economic and political realities of 1991 set the stage for change. Narasimha Rao, senior Congress leader and former EAM, led the transition. A pragmatist, Rao realised the need for an overhaul in both India's domestic economic structures and foreign policy approach. As detailed in a recent political biography, Rao brought these changes despite running a minority government